Capital needs AI, and AI needs capital - Europe's opportunity for more growth

By Sabine Mauderer

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1 Introduction

Ladies and gentlemen,

Let me start with a question: How many of you want me to start on a positive note?

So, I clearly see the majority looking for good news. I

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And there is a lot to be optimistic about. Because there is so much happening in Europe and Germany that we can be proud of.

The country I know best is Germany. Here we have some good news. Let me highlight three:

First, the German economy is growing again, much more than expected.

Second, we see a strong pick-up in the start-up scene. In the first half of 2026, more than 3,000 new start-ups were set up in Germany. This is an increase of over 50 %.

One third of these new start-ups have an AI focus.

Third, the German government is about to launch a major pension reform. At its core is the introduction of asset-funded pensions.

This reform will be a real game changer. It will be a real game changer, because the vast majority of Germans would become investors.

Families will start to discuss shares and assets. It would be a cultural shift as Germany has the chance to establish a real capital market culture.

Some of you may ask why I am telling you this. I am telling you this to point out that over the coming years, it will be more and more attractive to set up a business in Germany.

Doing business in AI requires enormous amounts of investment. So funding matters a lot.

Two weeks ago, I was in Bangkok. We met for the G 7, the G 20 and for the Annual Meetings of the IMF and the World Bank.

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technology companies. Hyperscalers are investing hundreds of billions of dollars in data centres, chips and energy infrastructure.

The OECD estimates that just nine major technology companies could invest a combined four trillion US dollars by 2030.[1]

These staggering sums raise some fundamental questions. Will these investments pay off? Will AI deliver the productivity gains many are hoping for? And will these gains justify the enormous amounts being spent?

Financial markets are already weighing these questions. And we see initial signs of repricing. The valuations of major technology companies reflect high expectations about AI's future potential.

Over the coming months, markets will try to better understand what benefits AI might realistically bring and what most probably not.

If expectations will be disappointed, we might see further repricing on the stock market. We also might see higher risk premia for AI refinancing.

But we have to differentiate. Big American tech companies, including the hyperscalers, face different challenges than most European companies.

The questions for Europe are: Are we investing enough to make the most of AI technology? And how can we use AI to strengthen our businesses, improve productivity and support economic growth? How can we use our world-class experience in engineering, automotive, and the German Mittelstand to make the best of AI?

2 Economic impact of AI

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Around half of the companies using generative AI expect productivity gains. Yet at the same time, only 7 percent use it on a larger scale.[2]

In other words: AI is gaining ground but there is still a lot of untapped potential. To unlock this potential, simply buying new software will not be enough.

Companies also need to adapt their processes, use their data and equip employees with the right skills.

Europe has a strong industrial base, with established strengths in sectors such as mechanical engineering, industrial automation, pharmaceuticals and chemicals.

These industries offer considerable opportunities for applying AI. Here our industries can use our globally recognized experience and gain a competitive advantage.

This shows that Europe can build on both its established industrial strengths and on a new generation of innovative companies, like start-ups in the defense sector or payment industry.

But both need investment. Investment to turn AI's potential into economic success.

3 Financing: AI needs capital

Developing AI requires enormous investment in data centres, chips and energy infrastructure. But capital is not only needed to develop AI.

Businesses that want to adopt AI must invest in equipment, software and training.

A new study shows: economic benefits of AI depend
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I think this underlines an important point: AI needs capital. And different players need different forms of financing.

Which sources of funding are available?

Small and medium-sized companies are the backbone of the German economy. They have access to a broad set of European banks.

Larger corporates do not only have access to the banking system. They also use the capital market. They can choose between equity and debt finance. We actually see a rising number of so-called AI Bonds.

And we see a growing number of US companies collecting money on the European capital market. Outstanding euro-denominated bonds issued by major US technology companies have reached around 40 billion euros.[4]

This trend will attract even more international investors. Start-ups often rely on venture capital to develop their ideas and to grow. This is where Europe still has some room for improvement.

We do have substantial financial resources. Households in the euro area alone hold over 36 trillion euros in financial assets.[5]

At the same time, many companies are looking for capital to invest and grow. The challenge is to channel the capital into productive investments.

Too often, young companies struggle to raise sufficient funding for the next growth stage when they want to scale up.

As a result, they may not realise their full growth potential – or look for capital and growth opportunities e interest of

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Let me return to the question I raised at the beginning. Will AI deliver the productivity gains that so many are hoping for?

We do not yet know how large those gains will be. And we do not know whether every investment made today will pay off.

But one thing is clear: Europe's economic success will also depend on using AI effectively across our economy. To succeed, we need to mobilize the huge investments that are needed.

Alongside a stable European banking system, I see huge potential in the European capital market. The German pension reform might be a first step as many citizens would become investors.

I started on a positive note. And I want to end on a positive note.

I see strong momentum for Germany and for Europe's economy, and AI plays a major role. I am confident that we can make this happen.

Thank you!

▶ 5 Footnotes

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